# EXECUTIVE SUMMARY

## A. Introduction

### Agency Profile

The Municipality of Langgangan, now Sta. Praxedes, Cagayan, was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

### Scope of Audit

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

## B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Sta. Praxedes, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

| Particulars | 2021 | 2020 | Increase/ (Decrease) |
|---|---|---|---|
| **Financial Position** | | | |
| Assets | 290,670,354.56 | 246,869,411.32 | 43,800,943.24 |
| Liabilities | 41,526,977.77 | 30,159,670.86 | 11,367,306.91 |
| Government Equity | 249,143,376.79 | 216,709,740.46 | 32,433,636.33 |
| **Financial Performance** | | | |
| Income | 73,164,265.38 | 73,215,053.46 | (50,788.08) |
| Expense | 61,243,406.80 | 58,188,869.14 | 3,054,537.66 |
| **Appropriations, Allotments and Obligation** | | | |
| Appropriations | 81,971,423.52 | 84,006,187.85 | (2,034,764.33) |
| Allotments | 81,934,538.11 | 84,006,187.85 | (2,071,649.74) |
| Obligations | 68,020,445.52 | 65,447,901.58 | 2,572,543.94 |

## C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sta. Praxedes, Cagayan for the year-ended December 31, 2021 due to the non-conduct of physical count of PPE and non-submission of Report on Physical Count of PPE, contrary to COA Circular 2020-006 dated January 31, 2020, thus, the accuracy of the PPE account in the financial statements amounting to ₱221,835,584.42 cannot be verified.

## D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The validity, accuracy, propriety and existence of the Property, Plant and Equipment account appearing in the books of account totaling ₱221,835,584.42 as of December 31, 2021, cannot be relied upon due to the non-conduct of physical count of PPE and non-submission of Report on Physical Count of PPE, contrary to COA Circular 2020-006 dated January 31, 2020.**

   We recommended that the Management:

   1. Create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

   2. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

   3. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

   4. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE.

2. **Deficiencies on disbursements for COVID-19 were noted, as follows: (a) Acceptance and Inspection Reports for procurement of COVID-19 supplies, drugs, and medicines totaling to ₱2,197,897.68 do not contain basic information, thus, it cannot be ascertained whether the delivery of goods conform to the terms and conditions of the contract; and (b)**

**Information on emergency procurement amounting to ₱1,720,039.83 were not posted in the GPPB online portal contrary to transparency and full disclosure policy of the GPPB.**

We recommended that the Management:

1. Direct all concerned officials to properly and completely accomplish relevant procurement documents, such as Acceptance and Inspection Reports.

2. Require the BAC Secretariat to comply with the mandatory posting of procurement information for contracts awarded through Emergency Procurement under the Bayanihan Act.

3. **Due to National Government Agencies amounting to ₱1,434,131.12 for different projects and programs implemented by the Municipality remained dormant for several years and were not returned to the source agencies, despite completion of the programs/ projects, thus, deprived the national government of available resources that could be used for other priority programs, projects and activities, contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 .**

   We recommended that the Management immediately return to the source NGAs the idle funds aggregating to ₱1,434,131.12 pursuant to Section 4 of COA Circular No. 94-013 dated December 13, 1994, and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012, on the submission, and liquidation of fund transfer received from National Government Agencies.

## E. Summary of Total Suspensions, Disallowances and Charges

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| **Suspensions** | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| **Total** | **-** | **-** | **-** | **-** | |
| | | | | | |
| **Disallowances** | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| **Total** | **-** | **-** | **-** | **-** | **-** |
| | | | | | |

| | | | | | |
|---|---|---|---|---|---|
| **Charges** | | | | | |
| Prior Years | - | - | - | - | |
| Current Year | - | - | - | - | |
| **Total** | - | - | - | - | |

## F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the six (6) audit recommendations in the CY 2020 Annual Audit Report, three (3) were implemented, two (2) were partially implemented, and one (1) was not implemented and reiterated in Part II of this Report.